CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. ED5AB6D1B
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
CONFIDENTIAL - SUBJECT TO PROTECTIVE ORDER

From: Susan J Mara <susan.mara@enron.com>
Sent: Fri, 8 Sep 2000 07:06:00 -0700 (PDT)
To: Steven J Kean <steven.kean@enron.com>
Cc: Jeff Dasovich <jeff.dasovich@enron.com>, Mona L Petrochko <mona.petrochko@enron.com>, Tim Belden <tim.belden@enron.com>, Mary Hain <mary.hain@enron.com>, Paul Kaufman <paul.kaufman@enron.com>, Richard Shapiro <richard.shapiro@enron.com>, James D Steffes <james.steffes@enron.com>
Subject: Re: ANSWERING YOUR QUESTIONS ON CA TRANSMISSION ACCESS

OK. I'll take a shot in answering your questions, Steve. Others are free to comment as well.

The transmission issues in the ISO are greatly lessened. If you talk to the traders, they LOVE it. Before April1, 1998, they had no sales to CA. Now, they have millions of dollars of sales. Why? -- no transmission access to speak of before the ISO took over.

We still have some problems, however. The problems have been there since day one and FERC has punted on them. We have a huge FERC case dealing with many of them. We also appealed a stupid FERC order on Path 15 probably at least a year ago and have heard nothing from FERC on it. The traders have also seriously considered a FERC complaint on Path 15.

So, what are the access issues?

Path 15 is the major constraint point between northern and southern CA. Has been for years. The transmission fix is basically adding a third intertie line between Tracy and Tesla. When I left PG&E in 1996, the estimated coast was $300 million. The congestion costs did not justify building the line then.

PG&E continues to control Path 15 and tells the ISO what's left after PG&E allocates the capacity and decides what the rating is and when it changes. There is no transparency. PG&E has the ability to use Path 15 to advantage Diablo Canyon given the existing contracts. Carl has looked into it somewhat and doesn't think PG&E is, but;... The ISO says it can't interpret PG&E's contracts with the munis and filed some funky thing with FERC about how it's some kind of overseer -- we protested and have now appealed. The munis have been receiving preferential access since Day One -- their contracts were generally subservient to the IOU rights -- more like interruptible -- but once the ISO started, all of a sudden, the muni rights became super firm superceding the IOU rights (as far as we can tell from sketchy filings and discussions with ISO staff). That's why we have pushed the issue. Also, Dynegy and Power Exchange (not the PX) have rights on Path 15. Tim Belden

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would love to get some info on how that constaint is being operated.

Information in general is pretty sketchy on real-time transmission. We have complained to the ISO about how the ISO knows what's going on in transmission (as do the utilities), changes what it does, which then changes prices, and then doesn't tell us until after the fact. The ISO has promised to do better, but I don't think has implemented any real changes yet.

Advantageous access.

Except for what's going on in Path 15, I don't think the IOUs have any advantages on access -- except with respect to Regulatory Must Run resources like nuclear and hydro -- but I think it's resource specific, rather than owner specific. The munis are another story. See next item.

Munis Preference

This is a huge issue here and I assume across the country. In making a devil's bargain with the munis, the FERC has put the ISO into an untenable situation. The "sanctity of contracts" under any and all conditions has created preference for incumbents (not the IOUs -- but everyone who had a transmission contract with the IOUs) and poor rights for those poor schlepps like us who have come into the new market. The ISO cannot operate the system this way and is forced to give the munis/Dynegy more than they had originally and to let them do things no one else can do (e.g., some munis get to change their schedule after the actrive hour begins, some get to do it every half hour, so far most haven't had to pay for ancillary services, etc.)

There are many, many examples of how we are discriminated against (in addition to Path 15) and of how FERC has shined us on -- but yet we fight on. The most recent muni giveaway is the litigation surrounding the "new" transmission charge for CA -- into this has been entangled the rules for munis joining the ISO. The munis want huge handouts to join. And part of the "new" T rate includes hundreds of millions of subsidies for munis -- I've pointed out that this amounts to the IOU's customers paying for the munis' stranded transmission costs, when they are already paying for the IOUs' stranded generation costs, but this argument fell on deaf ears in the ISO. It's really not our issue, but it does make you kind of sick about where public policy stands in this state.

Feel free to call (415) 782-7802

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Steven J Kean@ENRON
09/01/2000 07:43 AM
Sent by: Steven J Kean@ENRON
To: Jeff Dasovich/SFO/EES@EES, Susan J Mara/SFO/EES@EES, Mona L Petrochko/SFO/EES@EES, Tim Belden/HOU/ECT@ECT, Mary Hain/HOU/ECT@ECT
cc: Paul Kaufman/PDX/ECT@ECT, Richard Shapiro/HOU/EES@EES, James D Steffes/HOU/EES@EES
Subject:

When we have described the problems and solutions for California we have focussed on generation siting and flexibility to hedge. We have stayed away from transmission issues on the assumption that California, with its ISO and PX, does not suffer from the same discrimination issues as other parts of the country. Is this true? Does California's system layer in priorities for utility use of the system -- eg doesn't PG&E control "path 15"? Does that control provide advantageous access to PG&E? Are there other examples and are there links between these "preferences" and the current problems in California? As we are trying to convert reliability and pricing concerns into FERC action these would be helpful arguments to have available to us.

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